Stage 2 transfer memo (significant increase in credit risk)

Reference	**LP-S2-L004-W33**	Date	**2026-11-07 (data as of 2023-01-18, week 33)**
To	**Provisioning Committee**	From	**Credit Risk, Banco Demo (fictional)**
Borrower	**Campo Santa Elena S.A. (F004)**	Loan	**L004 · Crop input loan · $105,000**

Transfer of loan L004 from Stage 1 to Stage 2 (lifetime ECL). Current model stage: 2 (critical climate alert (level Severe)).

1. SICR evidence

Test	Threshold	Observed	Result
PD 12-month now vs origination	at least 2.0x	10.36% to 24.68% (2.4x)	**MET**
Critical climate alert (level Severe)	level Severe	Severe (score 100)	**MET**
Days past due / BCRA situacion	30+ days or situacion 2+	0 days / situacion 1	not met

First week at level Severe: week 31 (2023-01-04). Latest alert: High to Severe in week 31 (2023-01-04), score 72. Expected yield -35% vs normal (p10 -42%). Main signals: SPI-60 -2.4, soil moisture percentile 5, NDVI z -2.1.

Soy is in flowering (stage weight 1.0). Drought confirmed: 60-day rain is -2.4 SD from normal (SPI-60), soil moisture is at the 5th percentile and NDVI is 2.1 SD below this field's own history. Expected yield -35% vs normal (range -42% to -30%). Closest past season: 2010/11 (yield -8%). Risk level Severe (score 100, confidence 67%).

2. Effect on expected credit loss

Basis (base scenario, same PD and LGD)	Horizon	PD	ECL (USD)
Stage 1: 12-month ECL	12 months	26.17%	$12,481
Stage 2: lifetime ECL (incl. assumed 1-year restructuring)	to maturity + 12 months	44.39%	$17,197
Increase from the transfer			**+$4,716**

Model ECL now: bank baseline $4,338; climate-weighted $18,481 (base $17,210, adverse $20,387, severe $20,387). EAD $105,000, LGD 45.9%.

3. Proposed accounting treatment

Item	Amount (USD)
ECL as Stage 1 (12-month, base scenario)	$12,481
ECL as Stage 2 (lifetime, base scenario)	$17,197
Additional provision from the transfer (base)	+$4,716
Climate-weighted ECL after transfer (3 scenarios)	$18,481

4. Decision requested

Approve the transfer to Stage 2 effective 18 Jan 2023 and book the additional provision above.

Return to Stage 1: only after the SICR conditions have cleared (level below Severe, PD under 2x origination, no arrears) and a probation period without new alerts. Stage 3 is not proposed: Stage 3 requires default (more than 90 days past due or BCRA situacion 3+).

5. Approval and sign-off

Role	Decision	Name	Signature	Date
Credit risk officer (preparer)	☐ Approve ☐ Reject			
Provisioning Committee	☐ Approve ☐ Reject			
Chief Risk Officer	☐ Approve ☐ Reject			